

Benefit Statement Guidance

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Types of Benefit Statements

- **Benefit Determination Statements**
 - Accompany the Benefit Determination Letters and communicate benefits payable after the valuation is completed
- **Retirement Statements**
 - Issued when a request for benefits is made for a specific retirement date

Benefit Determination Statements

Who Uses Benefit Statements?

- Participants
- Beneficiaries/Alternate Payees
- Estates
- FBAs
- Technical Reviewers
- Appeals
- Problem Resolution Officer

Who Receives a Benefit Statement?

- Pre-DOTR Retirees with post-DOPT benefit changes due to plan formula or annuity form
- Pre-DOTR Retirees whose benefit is outside tolerance (\$5/5%) and reason for change is known
- All Post-DOTR Retirees (Statements are required for all PBGC calculated benefits)

Who Receives a Benefit Statement? (Cont.)

- Pre-DOTR Beneficiaries/AP's with post-DOPT benefit changes due to plan formula or annuity form
- Pre-DOTR Beneficiaries/AP's whose benefit is outside tolerance (\$5/5%) and reason for change is known
- All Post-DOTR Beneficiaries/AP's

Who Receives a Benefit Statement? (Cont.)

- Deferred Vested Participants
- Non-Vested Participants
- Deferred Beneficiaries
- Estates
- Alternate Payees
 - Regardless of type of QDRO
 - Retirement Status

Who Does Not Receive a Benefit Statement?

Benefit Determination Statements are not sent to payees (nor if they are deceased, to their beneficiaries or estates) who:

- Were placed into pay with their plan benefit (which may include a QDRO) by the Plan Administrator on or before DOTR; and,
- Have not been underpaid; and,
- Have not been overpaid on or after the Overpayment Accrual Commencement Date; and,
- Have benefits that will not change after BD issuance, which includes payees with benefits remaining in a certain period that will simply stop in the future

Benefit Statement Guidance

Actuarial Technical Manual

- I. Actuarial Case Report
 - Guidance in Chapter I.B.
 - Sample Benefit Statements in Chapter I.C.

Standardized Paragraphs

- Benefit Formulas
- Lump Sums
- Asset Allocations [4044 and 4022(c)]
- Title IV Limits
- IRS-based Rules
- Mandatory Employee Contributions (PC2)
- PPA 2006 Language

Standardized Paragraphs (Cont.)

- Cash Balance Plans
- Non-Vested Participants
- Lump Sum Death Benefits
- PBGC Optional Form
- Post-DOPT Lump Sums By Prior Plan Administrator
- Working Retirement Issues
- Purchased Annuities and other Offsets

Benefit Statement Structure

Benefit statements are divided into two sections:

- YOUR BENEFIT SUMMARY
 - Participant Information
 - Beneficiary Information
 - Alternate Payee's Information
 - Summary of Participant's Benefits
- YOUR BENEFIT CALCULATION
 - Pension Information used for Benefit Calculation
 - Benefit calculation

Your Benefit Summary

- Participant's Information
 - Name, modified SSN, gender, DOB, DOH, DOTE
- Beneficiary's Information (if applicable)
 - Name, modified SSN, gender, DOB
- Alternate Payee's Information (if applicable)
 - Name only
- Summary of Participant's Benefits
 - Retirees:
 - ARD (Amount in pay, PBGC benefit, Form of annuity)
 - Deferred Vested:
 - NRD and NRB
 - EBSD and Benefit at EBSD

Your Benefit Summary

Post-DOTR Retirees

Summary of Participant's Benefits

- Case #1:
 - Calculation produces the exact amount the participant is currently receiving
 - “Your current monthly benefit of \$<<0.00>> will not change.”

Your Benefit Summary

Post-DOTR Retirees (Cont.)

Summary of Participant's Benefits

- Case #2:
 - PBGC-calculated benefit differs from what the participant is currently receiving
 - Benefit in pay will not change (within Benefit Corrections tolerance)

Your Benefit Summary

Post-DOTR Retirees (Cont.)

Summary of Participant's Benefits

Actual Retirement Date (ARD):	<<mm/dd/yyyy>>
Current Monthly Benefit:	\$<<0.00>>
PBGC Monthly Benefit at DOPT/ARD:	\$<<0.00>>
Form of Annuity:	<<FOB>> Annuity

Your current monthly benefit of \$<<0.00>> will not change. Although the amount of the PBGC monthly benefit shown above is slightly less than the amount you are currently receiving, we will not change the amount of your current monthly benefit.

Your Benefit Summary

Pre/Post-DOTR Retirees

Summary of Participant's Benefits

- Case #3:
 - PBGC-calculated benefit is less than what the participant is currently receiving
 - Benefit in pay will change

Your Benefit Summary

Pre/Post-DOTR Retirees (Cont.)

Summary of Participant's Benefits

Actual Retirement Date (ARD):	<<mm/dd/yyyy>>
Current Estimated Monthly Benefit:	\$<<0.00>>
PBGC Monthly Benefit at DOPT/ARD:	\$<<0.00>>
Form of Annuity:	<<FOB>> Annuity

Your current monthly benefit of \$<<0.00>> will decrease to \$<<0.00>>
[Explain reason in simple terms.]. See the Benefit Calculation section for further details.

Your Benefit Summary

Pre/Post-DOTR Retirees (Cont.)

Summary of Participant's Benefits

- Case #4:
 - PBGC-calculated benefit is greater than the amount the participant is currently receiving
 - Benefit in pay will change

Your Benefit Summary

Pre/Post-DOTR Retirees (Cont.)

Summary of Participant's Benefits

Actual Retirement Date (ARD):	<<mm/dd/yyyy>>
Current Estimated Monthly Benefit:	\$<<0.00>>
PBGC Monthly Benefit at DOPT/ARD:	\$<<0.00>>
Form of Annuity:	<<FOB>> Annuity

Your current monthly benefit of \$<<0.00>> will increase to \$<<0.00>>. See the Benefit Calculation section for further details.

Your Benefit Summary

Deferred Participants

Case #1: *Ineligible for early retirement benefit and lump-sum value > \$5,000*

Summary of Participant's Benefits

You may begin receiving your monthly benefit on <<NRD>>. Your monthly benefit shown below is payable as a <<plan's NSF>> Annuity. Other forms of benefit are available to you.

Normal Retirement Date (NRD):

<<mm/dd/yyyy>>

Monthly Benefit at NRD:

\$<<0.00>>

Your Benefit Summary

Deferred Participants (Cont.)

Case #2: *Eligible for early reduced benefit and Lump Sum value > \$5,000*

Summary of Participant's Benefits

Below we show your monthly benefit based on different annuity starting dates. Each monthly benefit shown is payable as a <<plan's NSF>> Annuity. Other forms of benefit are available to you.

Normal Retirement Date (NRD):	<<mm/dd/yyyy>>
Monthly Benefit at NRD:	\$<<0.00>>

PBGC Earliest Benefit Starting Date (EBSD):	<<mm/dd/yyyy>>
Monthly Benefit at EBSD:	\$<<0.00>>

The EBSD on this statement is for your information. If this date passes or has already passed, your date of retirement can be no earlier than the first of the month after you contact PBGC to request to start your benefit.

Your Benefit Summary

Deferred Participants (Cont.)

Case #3: *Eligible for early unreduced benefit and Lump Sum value > \$5,000*

Summary of Participant's Benefits

Below we show your monthly benefit based on different annuity starting dates. Each monthly benefit shown is payable as a <<plan's NSF>> Annuity. Other forms of benefit are available to you.

Normal Retirement Date (NRD):	<<mm/dd/yyyy>>
Monthly Benefit at NRD:	\$<<0.00>>
Earliest Unreduced Retirement Date (EURD):	<<mm/dd/yyyy>>
Monthly Benefit at EURD:	\$<<0.00>>
PBGC Earliest Benefit Starting Date (EBSD):	<<mm/dd/yyyy>>
Monthly Benefit at EBSD:	\$<<0.00>>

The EBSD on this statement is for your information. If this date passes or has already passed, your date of retirement can be no earlier than the first of the month after you contact PBGC to request to start your benefit.

Your Benefit Summary

Deferred Participants (Cont.)

Case #4: *Past Normal Retirement Date (NRD) but before Required Beginning Date and Lump Sum value >\$5000*

Summary of Participant's Benefits

Your monthly benefit shown below is payable as a <<plan's NSF>> Annuity. Other forms of benefit are available to you.

PBGC Earliest Benefit Starting Date (EBSD):

<<mm/dd/yyyy>>

Monthly Benefit at EBSD:

\$<<0.00>>

The EBSD on this statement is for your information. If this date passes or has already passed, your date of retirement can be no earlier than the first of the month after you contact PBGC to request to start your benefit.

Include the participant's NRD in the Participant's Information section.

Your Benefit Summary

Deferred Participants (Cont.)

Case #5: *Past Required Beginning Date and Lump Sum value >\$5000*

Summary of Participant's Benefits

<< insert the appropriate standard paragraph from section I.B.4.e.i. RBD Rules>>

Your monthly benefit is shown below as of your Required Beginning Date and payable as a <<plan's NSF>> Annuity. Other forms of benefit are available to you.

Required Beginning Date (RBD):

<<mm/dd/yyyy>>

Monthly Benefit at RBD:

\$<<0.00>>

Include the participant's NRD in the Participant's Information section.

Your Benefit Summary

Deferred Participants (Cont.)

Case #6: *Lump Sum value is less than or equal to \$5,000*

Use the same language as in Cases 1-5 and add:

- OR -

Instead of a monthly benefit, you may elect to receive the lump sum payment shown below. The lump sum payment equals the cost, as of the date of plan termination, of providing the monthly benefit, taking into account alternative retirement ages and forms of payment available to you.

Lump Sum Payment:

\$<<0,000>>

Your Benefit Summary

Other Categories

- Beneficiaries In Pay
- Deferred Beneficiaries
- Estates
- Participants Receiving an Auxiliary Disability Benefit
- Participants Eligible for Retroactive Retirement Date
- Participants who are eligible for changes in the Annuity Starting Date or Annuity Benefit Form

Your Benefit Calculation

Pension Information used for Benefit Calculation
(data used to calculate benefits)

- Years of Credited Service
- Benefit Rate
- Average Monthly Earnings
- Vesting Service (if VP $\neq$ 100%)
- Vesting Percentage (if VP < 100% or phased-in)

Your Benefit Calculation (Cont.)

Show calculation of benefits at:

Retirees	Deferred Participants
Actual Retirement Date (ARD)	• Normal Retirement Date (NRD) • Earliest Unreduced Retirement (EURD)* • Earliest Benefit Start Date (EBSD)

* If plan specifies a EURD and participant meets eligibility requirements as of DOPT/BPD

Consistency

- Use terminology in the accompanying Benefit Determination Letter
 - Example: use the phrase “bankruptcy petition date” instead of “bankruptcy filing date.”
- Be consistent within the Benefit Statement
 - Use terminology in plan (e.g. Benefit or Credited Service)
 - Use plan amendment by date/name in the appropriate calculation line descriptions (e.g. use “Amendment #1” or “03/24/2015 Amendment”, but not both descriptions interchangeably)

Plain Language & Acronyms

- Use plain language
 - "you can start" vs. "one may commence"
 - "instead of" vs. "in lieu of"
- Use reasonable acronyms only after defining in previous section
 - Earliest Benefit Start Date (EBSD)
 - Years of Vesting Service (VS)

Plan Name

- BSRS limits the number of characters that can be used for the plan name.
 - Defined Benefit = DB
 - Employees = EEs
 - Pension Plan = PP
 - Hourly = HRLY
 - Salaried = SAL
- Use SPECTRUM name if possible. If not, be consistent with naming convention.

Estimated and Unknown Data

- Indicate when data are estimated
 - Example: If an annual salary is estimated or an average compensation was computed using estimated salary data, use a general statement that indicates that some of the salary information used to compute the benefit was estimated.
- List missing dates as "UNKNOWN."

Vesting Percent

- Only show the Vesting percent if:
 - Participant is partially Vested
 - 100% Vesting is affected by the Phase-In Limitation

Active Employees

For participants who are active as of DOPT, state when accruals cease by using DOPT as the Last Date Benefits Earned.

In the Participant's Information section, state:

Date of Termination of Employment:

Actively Employed on DOPT

Last Date Benefits Earned:

<<DOPT>>

Earliest Benefit Start Date (EBSD)

- Date must be in the future
- PBGC does not pay retroactively except under very limited circumstances
- Use 1st of the month based on when the BD will be issued

Payees Past NRD and before RBD

- Participant's Information Section
 - Include NRD
- Summary of Benefits Section
 - Show the benefit only at a prospective EBSD
 - Do not show the benefit amount at NRD

Payees After RBD

- Summary of Benefits section
 - Show the benefit only at RBD
 - Use date label “Your Required Beginning Date”

QDROs

- Use “Your benefit was calculated according to the terms of your Qualified Domestic Relations Order dated October 1, 2007.”
- Date in above sentence is the date the QDRO was signed by the judge or similar official
- Usually different from the division date

Alternate Payee Statements

- BENEFIT SUMMARY FOR <<insert AP's name>>
- BENEFIT CALCULATION FOR <<insert AP's name>>
- Line descriptions should clearly indicate which lines pertain to the AP/participant.
 - Participant's Information (name only)
 - Alternate Payee's information
 - Summary of Alternate Payee's Benefits

Estate Statements

- BENEFIT SUMMARY FOR THE ESTATE OF <<insert participant's name>>
 - Participant's Information
 - Summary of Participant's Benefits
- BENEFIT CALCULATION FOR THE ESTATE OF <<insert participant's name>>
 - Pension Information used for Benefit Calculation
 - Benefit Calculation (show only the participant's NRD benefit)

Beneficiary Statements

- BENEFIT SUMMARY FOR <<insert beneficiary's name>>
- BENEFIT CALCULATION FOR <<insert beneficiary's name>>
- Line descriptions in the Benefit Calculation section should clearly indicate which lines pertain to the beneficiary/participant.

Benefit Freeze

Case #1: *Participant is active on DOPT*

In the Participant's Information section, state:

Last Date Benefits Earned:

<<DOBF>>

Date of Termination of Employment:

Actively Employed on DOPT

Benefit Freeze (Cont.)

Case #2: *Participant separated from service between DOBF and DOPT*

In the Participant's Information section, state:

Last Date Benefits Earned: <<DOBF>>

Date of Termination of Employment: <<DOTE>>

Benefit Freeze (Cont.)

Case #3: *Participant separated from service prior to the freeze date*

In the Participant's Information section, state:

Date of Termination of Employment:

<<DOTE>>

PBGC Optional Forms

- Amount shown in the Benefit Calculation section
- Use “You elected a <<PBGC optional form>> as a PBGC optional form”
- Make sure the PBGC optional form is listed in the “Summary of Participant’s Benefits” section as the Form of Annuity
- Do not show the form conversion factor used to compute the PBGC optional form

Retirees with J&S Benefits

- On the last line in the Benefit Calculation section, show the benefit paid to the beneficiary if the participant predeceases the beneficiary
- If the participant elected a J&S PBGC optional form, base the survivor annuity on that form

Retirees with J&S Pop-Up Benefits

- Include a line in the Benefit Calculation section that shows the pop-up benefit paid to the participant if the beneficiary predeceases the participant

Participants Electing PBGC Optional Forms with Non-Spouse Beneficiaries

- When participants elect a non-spouse beneficiary, they cannot elect the plan's Automatic Married Form.
- Use “The above Form of Annuity is your Plan's Automatic Form for Married Participants, Option B from your Optional Benefit Form statement. Because you elected a beneficiary who is not your spouse, the form of annuity above is not available to you. See your Optional Benefit Form statement for forms of annuity that you may elect.”

No Limitations Applied

- Use “Your benefit has not been affected by any PBGC limits”
 - Use only when participant is receiving their full plan benefit
 - Do not use when plan provides a lump sum death benefit, even if participant is receiving his/her full monthly benefit. PBGC does not guaranteed lump sum death benefits.
 - Do not use for participants affected by BPD
 - Do not use for non vested or partially vested participants

Accepting Prior Plan Administrator's Accrued Benefits

- Use “(1) Monthly Benefit at Normal Retirement Date Calculated by the Prior Plan Administrator as a <<plan's NSF>> Annuity:”
 - No need to show any calculations
 - Only show benefit amount provided by Prior Plan Administrator

Keep It Simple

- If information does not apply to the Participant/Beneficiary, do not show it on the Benefit Statement
- Example:
 - (a) $1\% \times \text{AMC}$ + (b) $0.5\% \times (\text{AMC} - \$3000)$
 - if $\text{AMC} < \$3000$ do not show (b)

Keep It Simple (Cont.)

- Strive for only one or two mathematical operations per line
- Avoid showing “0” values on statements
- Avoid using the phrase “not less than 0” in calculations

Future Changes

Participants should be informed when there are changes to their benefits due to factors subsequent to the issuance:

- Definite Change
 - Indicate when the change will occur
 - How much the benefit increases or decreases
 - Example: Temporary Supplement
- Possible Change
 - Indicate what could cause the benefit to be adjusted
 - Example: Application of a plan earnings limitation

Future Changes (Cont.)

Example: Definite Benefit Change due to temporary supplement –

- Be precise about change dates
 - Example: DOB: 05/10/1948
 - Temporary Supplement Payable until age 62
 - Benefit Payable on and before 05/01/2010
 - Benefit Payable on and after 06/01/2010

Standard Paragraphs

- Guidance contain standard paragraphs that address many common scenarios
- Standard language must be edited to fit the specifics of your case.
- Generally the location of standard language should be directly above the calculations it describes.

Manual Statements

- Statements created outside BSRS
- Very common to have at least one participant per plan that requires a very complex statement
- Create a statement in Microsoft Word/Excel
- Need to provide recalculation instruction, if participant has not yet retired.

Manual Statements (Cont.)

- Review every manual statement very carefully
- Include copy in blue book

Reconciliation with Participant Count

- Reconcile Number of Benefit Statements
 - In section 25 of the Case Memo for each participant category list
 - number of BSRS statements
 - number of manual statements
 - number without statements
- Reconcile Benefit Statements to the number of participants included in the valuation

General Comments

- Load most up-to-date Post-DOPT retirement and death data into the Valuation Database using LEO
- Reconcile Valuation Databases to SPECTRUM
- Program V1 file to correspond to Benefit Statements.
 - Avoid rounding problems
 - Must pay even an increase of 1¢

General Comments (Cont.)

- Guidance provided on benefit statements is dynamic
- Always looking for feedback and sample Benefit Statements

Frequent Comments

- Inconsistent headings, terms
- Used “not affected by any PBGC limitations” language but participant lost benefits due to PPA and is/is not getting a 4022 (c) allocation
- Past RBD - show the RBD, RBD benefit only
- Participant is deceased - benefit statement should be directed to his estate or beneficiary

Frequent Comments (Cont.)

- Lines don't align properly on the manual statement
- Must modify standard language to match your specific case and participant
- Define abbreviations first and then use in the rest of the statement

Retirement Statements

Retirement Statements

- Generally follows same outline and format for Benefit Determination statements
- Generally uses same standard language rules and paragraphs

Retirement Statements (Cont.)

- **Exceptions:**

- Rule for including RBD language

For a participant, deferred beneficiary, or alternate payee who is not in pay at BDL issuance, we should include RBD language on the Retirement Statement. The language informs the PVA, and potentially the customer if the PVA sends him/her the statement, when the customer has to retire.

Retirement Statements (Cont.)

- **Exceptions (Cont.):**

- Rule for including Lump Sum language

For a participant or deferred beneficiary who is not in pay at BDL issuance and is eligible for a lump sum, we should not include the lump sum language on the Retirement Statement. The Benefit Determination Statement can be used to process payment of the lump sum.

Resources

OBA Actuarial Technical Manual:

- *Section I.B. Benefit Statement Guidance*
- *Section I.C. Sample Benefit Statements*

ATM Updates

- [2019 Benefit Statement Guidance Updates - Presentation](#)
- [2019 Benefit Statement Guidance Updates - ATM Sections](#)